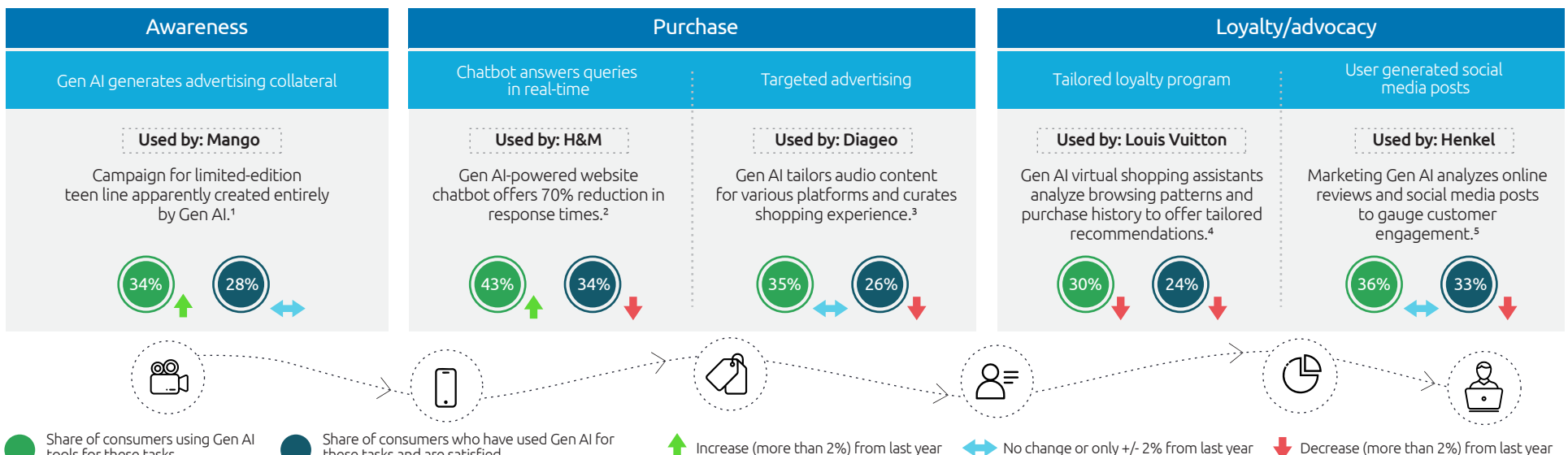
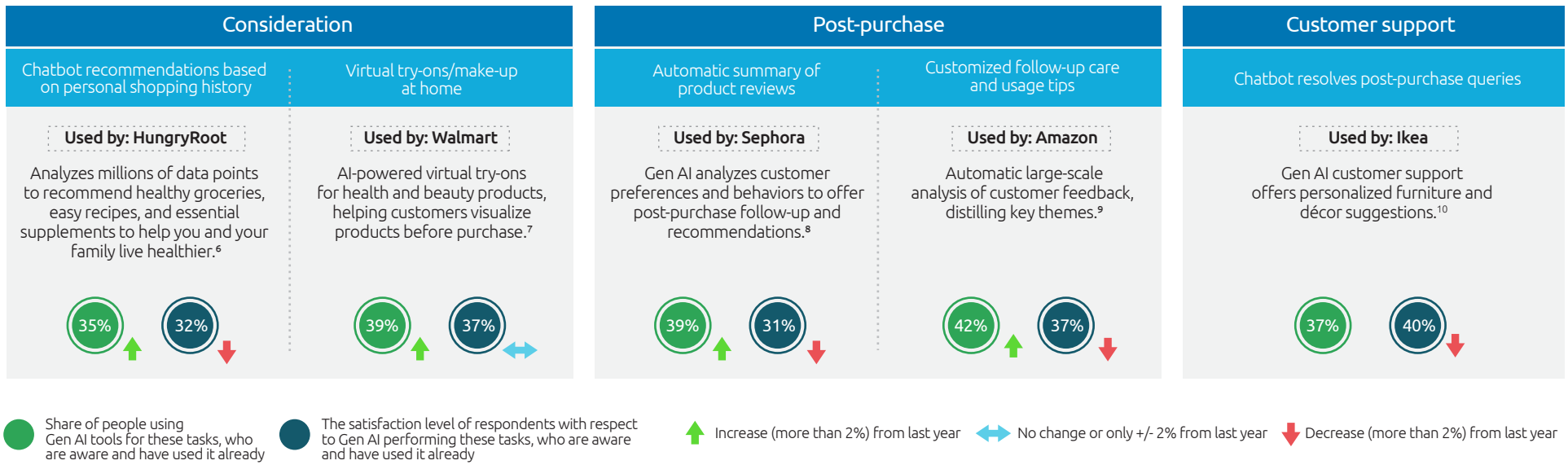
Figure 10.
Satisfaction with Gen AI across shopping journey is at 37% from 41% previous year



Continue on the next page...



Sources:

1. Mango Fashion Group, "Technological advance and the commitment to digital transformation are part of the Earn lever of Mango's Strategic Plan 2024-2026," July 2024.
2. PRNewswire, "Hungryroot launches SmartCart™, a new AI tool to help people live healthily," September 2024.
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4. Infinitive, "Reimagining customer service through Gen AI," January 2024.
5. Adweek, "How brands like Diageo, Progressive and eBay are using Gen AI to tailor ads," May 2024.
6. Renascence, "Personalized product recommendations using AI," September 2024.
7. Amazon, "Analyzing these reviews to extract actionable insights enables data-driven decisions that can enhance customer experience and reduce churn," August 2024.
8. TechBSB, "Louis Vuitton embraces artificial intelligence," March 2024.
9. Consumer Goods, "Henkel will pilot Gen AI solutions trained on its own assets to create personalized marketing content at scale that's both brand- and commercial-safe," April 2024.
10. Forbes, "IKEA has unveiled a new Gen AI chatbot powered by ChatGPT, with the aim of giving every customer their own AI design assistant," May 2024.

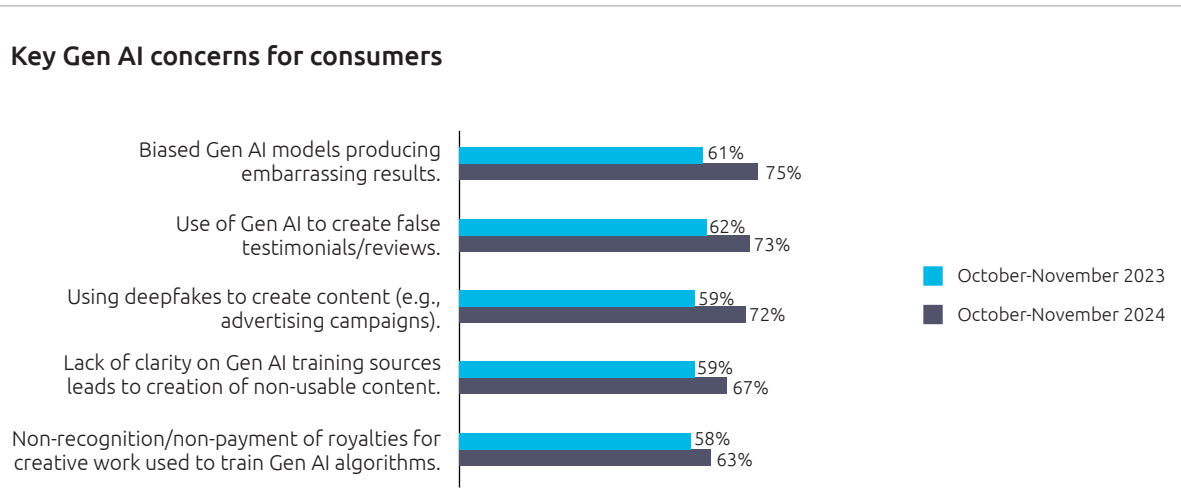
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 2,909 consumers who are aware of the use of Gen AI in shopping experiences and have used it already.

High consumer awareness of Gen AI challenges

Consumer consciousness of multiple challenges around Gen AI is rising, from an average of only three out of 10 consumers in April 2023 to seven in 10 in October-November 2024. Consumers in the Digital-First Trailblazers cluster, who are the heaviest Gen AI users, are also the most concerned about the tech.

- **Bias in AI models:** Concerns about bias leading to unrepresentative results have surged to 75% from 61% previous year. This underscores the critical need for ongoing scrutiny and improvement in AI training processes.
- **Impersonation and misinformation**: Worry about the impersonation of individuals to create misleading testimonials has risen to 73% from 62%, indicating Gen AI's potential to spread misinformation and manipulate public perception.
- **Deepfake concerns persist:** Concerns about the use of deepfakes remains high, with 72% of consumers, expressing ongoing worries about privacy and consent in the digital age.

Figure 11.
Consumers have high technology consciousness leading to more Gen AI-related concerns

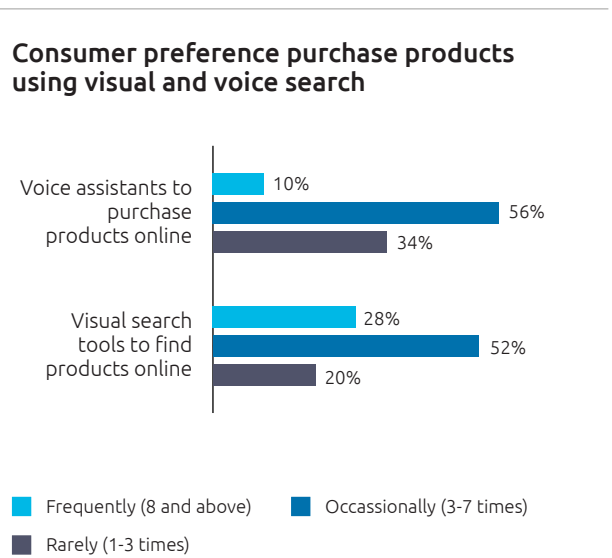


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000, N = 2,909 consumers who are aware of the use of Gen AI in shopping experiences and have used it already.

Gen AI visual search and voice commerce is evolving

AI search startup Perplexity has rolled out a new feature in which users can research products via conversational prompts and image inputs, checkout with one-click, and even get free shipping on purchases.[6] Cosmetics giant Estée Lauder has released its Voice-Enabled Makeup Assistant (VMA), which harnesses AI and augmented reality (AR) to help visually impaired people use cosmetics.[7] After assessing uniformity and coverage, the app provides audio feedback on the application of lipstick, eyeshadow, and foundation. Future versions will offer a wider range of makeup looks and enhanced educational tools.[8] Additionally, the company collaborated with Microsoft on an innovation lab that will help it explore Gen AI applications across more than 20 brands.[9]

Figure 12.
More than 50% of consumers use visual and voice search.

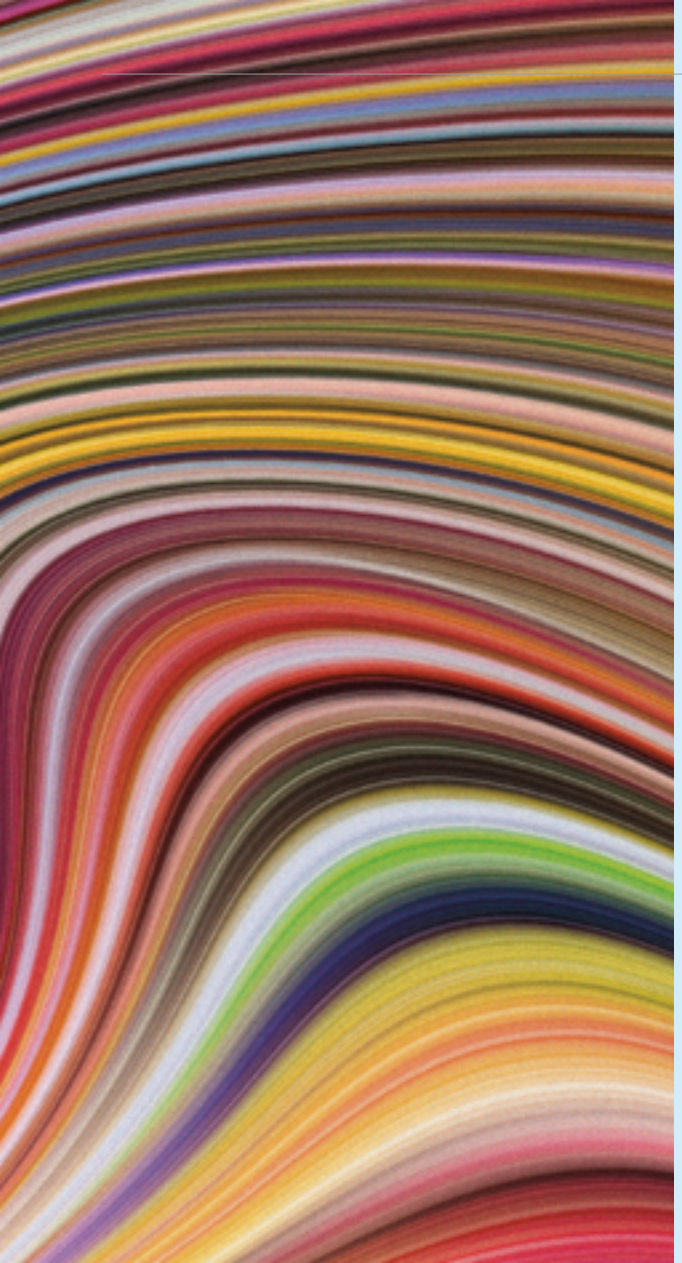


Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

By understanding visual content, Gen AI enhances product recommendations and enables visual search features. Amazon Lens can discover exact and similar matches in the Amazon Shopping app using uploaded images, photos, or barcodes.[10]

All age groups prefer occasional to frequent use of visual and voice search, suggesting an openness to these technologies but some way to go to habitual use.

- While 28% of respondents frequently use visual search, boomers are most likely to do so, at 31%.
- Most consumers across all age groups occasionally use visual search, with Gen X leading at 57%. Voice search is also widely used on an occasional basis (56% of all respondents
- Groceries and food supplies lead in both visual search (62%) and voice search (55%), highlighting everyday convenience.
- Health and beauty products show strong engagement, with 45% of consumers using visual search and 57% using voice search.



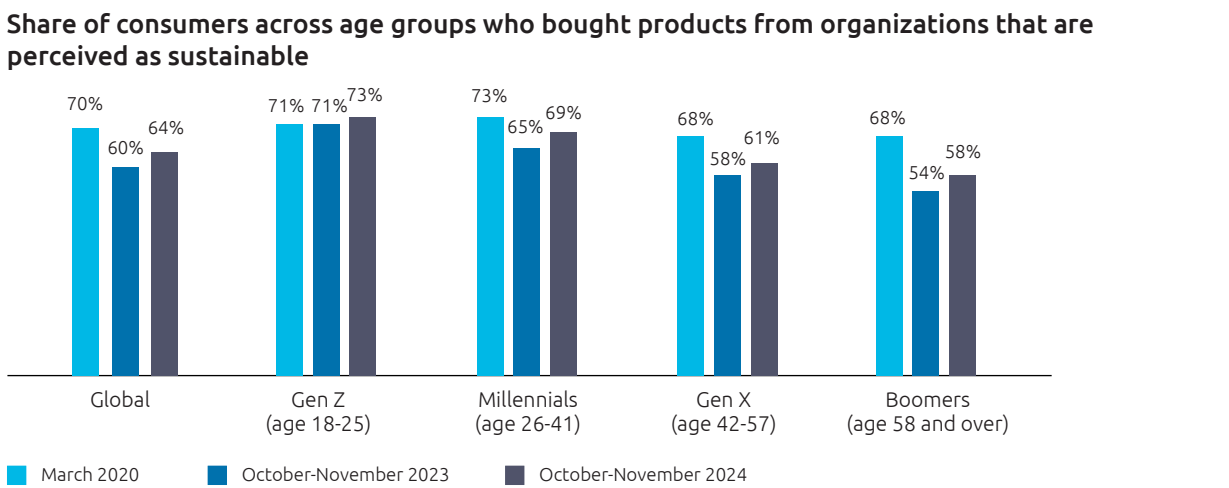
Personal and planetary wellbeing: How sustainability and eating habits influence consumer choices

The demand for sustainable products is steadily increasing, with Gen Z leading the way

A solid 64% of consumers have purchased products from organizations perceived to be sustainable, up from 60% last year. This shift is seen across all age groups, with Gen Z leading at 73%. Organizations are responding to this growing trend with various initiatives.

- Ikea US's recently launched Buy Back & Resell program allows customers to bring back a used Ikea item and, in return, receive a voucher to use in-store. Ikea will then either resell the product or, if it can't be sold, donate or recycle it.[11]
- In "Earth Month" in April 2024, Sephora spotlighted its wide range of refillable beauty products and the growing impact of its Beauty (Re)Purposed take-back program.[12]

Figure 13.
Gen Z continues to lead in the purchase of sustainable products

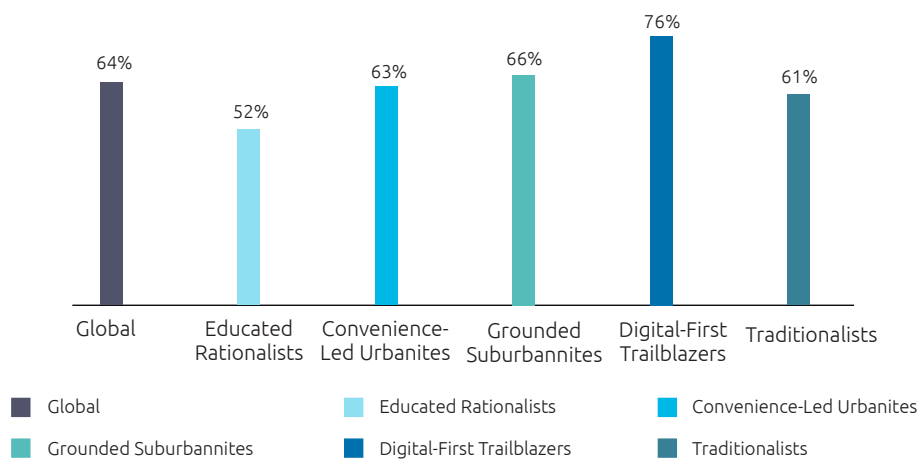


Source: Capgemini Research Institute, Sustainability in Consumer Products and Retail survey, March 2020, N = 7,520 consumers; Consumer Demand survey, October–November 2023, N = 11,681 consumers; Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers: 1,394 Gen Z consumers; 3,219 Millennial consumers; 3,757 Gen X consumers; 3,630 Boomer consumers.

Consumers in the Digital-First Trailblazers cluster purchase the most sustainable products. The Educated Rationalists cluster, with 69% graduates and 39% urban retirees, has the lowest sustainable purchases. Digital-First Trailblazers' high digital use and awareness of sustainability issues contribute to their leading position.



Figure 14.
Digital-First Trailblazers purchase more sustainable products than other clusters



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

More consumers are paying a small premium for sustainable products

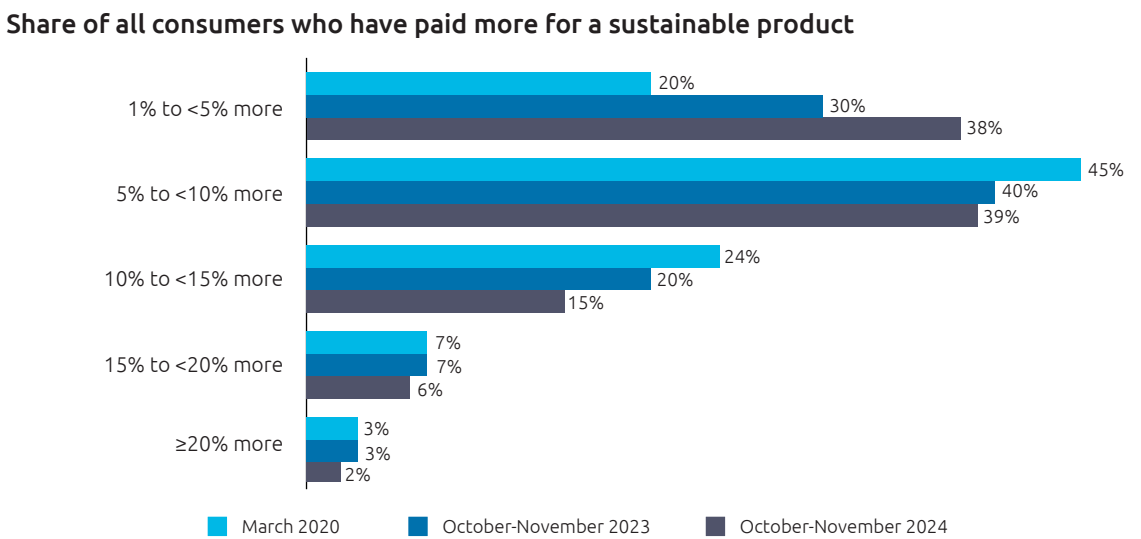
There is a shift, from 30% to 38%, this year in the proportion of consumers who have paid a premium of 1–5% more for sustainable products. Boomers (45%) lead all age groups in this cohort of consumers who have paid the 1–5% premium.

While the share of consumers willing to pay a premium of 20% or more has fallen from 3% to 2% this year, Gen Z leads, with 3.5% of this cohort doing so (figure 15).

38%

of consumers who have paid a premium paid 1–5% more for sustainable products

Figure 15.
Consumers who paid more for sustainable products have shifted toward the lower premium range



Source: Capgemini Research Institute, Sustainability in Consumer Products and Retail survey, March 2020, N = 4,779 consumers who have paid more for a sustainable product. Capgemini Research Institute, Consumer Demand survey, October–November 2023, N = 4,307 consumers who have paid more for a sustainable product, Consumer Demand survey, October–November 2024, N = 4549 consumers who have paid more for a sustainable product.

Consumers strongly support food-waste reduction initiatives

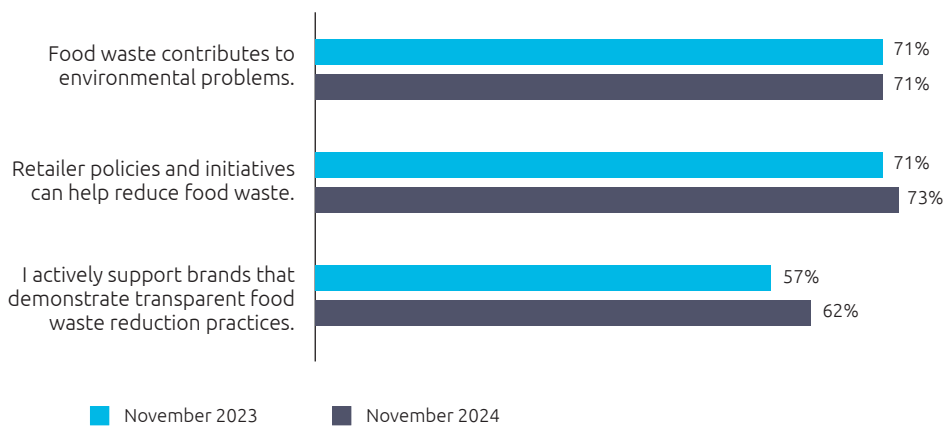
Consumers continue to show high awareness of the contribution of food waste to environmental problems (71% both this year and last). Gen Z and millennials have reported even higher awareness, of 73% and 76%, respectively. Around three-quarters (73%) of consumers globally and 80% in the Netherlands believe retailer initiatives help reduce food waste, compared with 71% of all consumers last year.

UK supermarket chain Tesco is to open a new facility that will turn surplus food into animal feed. The facility has the capacity to process 1,000 tons of surplus food each week. Tesco will require around 40% of this, leaving 60% free for waste from other manufacturers and retailers.[13]

Another UK supermarket chain, Asda, is reducing food waste by expanding its partnership with surplus food marketplace Too Good To Go. From September 2024, nearly 1,000 Asda locations have begun to offer "surprise bags" containing surplus food nearing its sell-by date. This follows a successful trial that saved over 2 million kg of food from going to waste.[14] Too Good To Go partners with some of the world's biggest names in grocery retail, such as Carrefour, Auchan, Spar, Aldi, Co-op, and many more.[15]

Figure 16.
Consumers continue to support food waste initiatives

Share of consumers who agree with the statements below:



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers, Capgemini Research Institute, *What matters to today's consumer*, January 2024.

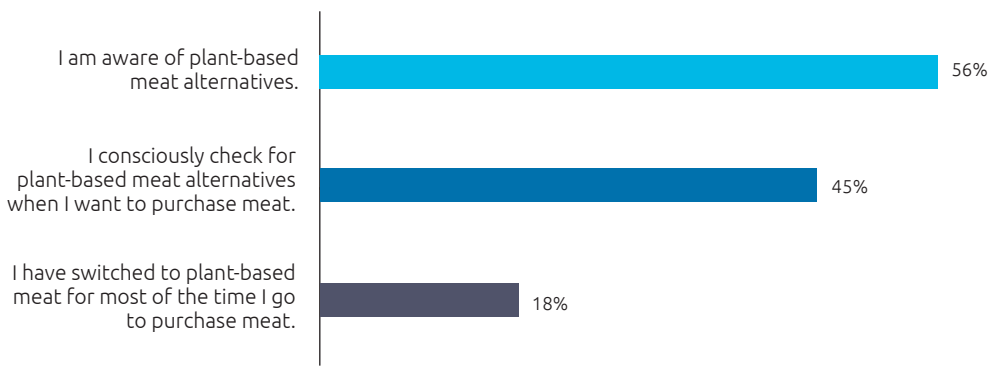
One-quarter of millennials have switched to buying plant-based meat, most of the time

As meat consumption falls, retailers are promoting plant-based meat alternatives

Over half of European non-vegetarians have cut back on meat. Health reasons influenced 47% of this figure, with 29% citing environmental concerns and 26% animal welfare.[16] Nearly half (48%) of consumers are aware of the water and greenhouse gas (GHG) impact on the environment due to meat production, and 56% demand meat products display their carbon and water impact on the environment. Half (56%) of consumers globally are aware of plant-based meat products and 45% of consumers consciously check for plant-based meat alternatives when they shop. Globally, 18% of consumers and 25% of millennials have switched to plant-based meat most of the time. This figure is higher for consumers in Italy and Spain (29%), the Netherlands (28%), and Sweden (27%) and lower for consumers in Japan at 10%.

Figure 17.
Nearly one in five consumers have shifted to plant-based meat alternatives, most of the time

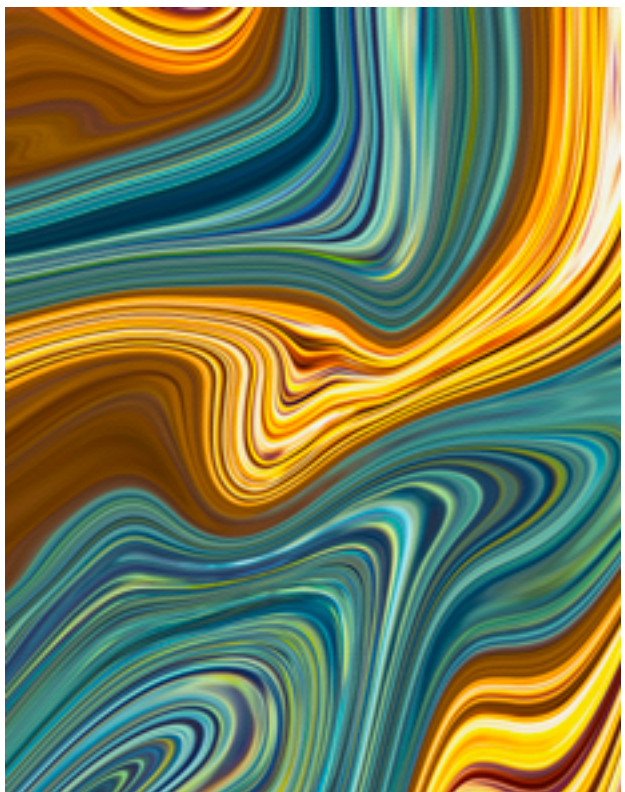
Share of consumers who agree with the statements below:



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

Since 2020, sales of meat in Dutch supermarkets have fallen by over 16%. The Dutch government has set a goal for 2030 to cut protein from animal sources to 40% – a target several supermarket chains have pledged to support. Presently, the average is around 60%.[17]

- Dutch supermarket chain Jumbo is the first in the Netherlands to ban fresh meat promotions. By 2025, the supermarket chain plans for 50% of its protein products to be plant-based, with a goal of reaching 60% by 2030.[18]
- Aldi aims to expand its vegan range to 1,000 products by end-2024.[19]
- Lidl Netherlands announced a permanent price reduction for its plant-based products and launched a hybrid minced-meat product, which reduces CO2 emissions by 37.5%. Lidl aims to increase sales of plant-based proteins to 60% by 2030.[20]



Around 54% of consumers state a willingness to switch to plant-based or lab-grown 'meat' if they consider the taste and texture of these products to be authentic. Major brands are introducing multiple plant-based meat alternatives. For example, Nestlé has developed Maggi Rindecarne and Maggi Soya Chunks.[21,22]

The Kraft Heinz Not Co, a joint venture between The Kraft Heinz Company and The Not Company, is set to roll out an innovative range of plant-based 'meat' products in major retailers in the US in 2024. *"Our goal is to create mouthwatering, plant-based foods that are delicious and accessible to everyone from the devoted vegan to the plant-based curious,"* says Lucho Lopez-May, CEO of The Kraft Heinz Not Co. "We know people are hungry for plant-based meat options from brands they know and trust."[23]

45%

of consumers consciously check for plant-based meat alternatives when they want to purchase meat





Social commerce is the retailer's route to Gen Z

Social media continues to shape consumer shopping behavior

Social commerce, driven by Gen Z, is reshaping retail. Social networks' innovative shopping features have revolutionized interactive product discovery and purchasing, with interesting parallel shifts toward convenience and community. Platforms such as Instagram and TikTok are using this revamped shopping experience to reach a new generation of consumers.

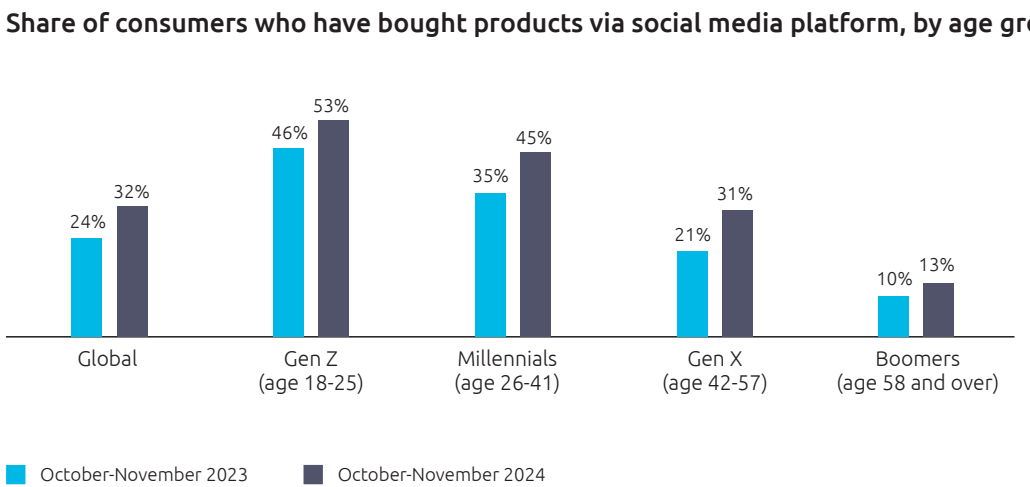
The share of consumers purchasing new products or brands through social media increased from 24% in late 2023 to 32% in late 2024, underscoring its effectiveness as a marketing channel, in particular for the young.

- Gen Z leads the way, with 53% buying new products through social media in 2024, up from 46% last year.
- Millennials also show a notable increase, with 45% purchasing new brands via social media, up from 35%.
- While Gen X and boomers are also increasing their purchase rates (from 21% to 31% and 10% to 13%, respectively), their overall engagement remains significantly lower than that of younger generations.

53%

of Gen Z buy new products through social media in 2024, up from 46% last year

Figure 18.
53% of Gen Z consumers have bought products via social media platforms



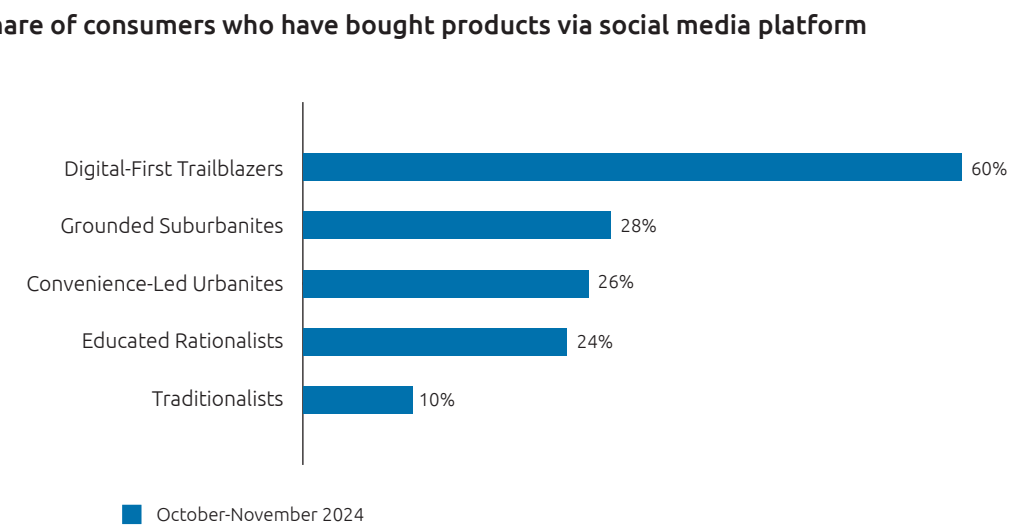
Source: Capgemini Research Institute, Consumer Demand survey, October–November 2023, N = 11,681 consumers: 1,048 Gen Z consumers, 3,358 Millennial consumers, 3,586 Gen X consumers, 3,689 Boomer consumers; Capgemini Research Institute, Consumer Demand survey, October–November 2024, N=12,000; 1,394 Gen Z consumers, 3,219 Millennial consumers, 3,757 Gen X consumers, 3,630 Boomer consumers.

Around 60% of consumers in the Digital-First Trailblazers cluster have bought products via social media platforms, the highest share among all clusters and more than double the share of the next-highest. A key point to note is that this cluster is very tech-savvy and the youngest cluster in our sample, living mostly in urban areas.

Overall, consumers prefer Instagram (50%) and YouTube (49%) as their social media platforms for buying, followed by Facebook (41%) and TikTok (32%). This trend is reflected among Gen Z, with 48% favoring Instagram and 45% YouTube. Among millennials, 53% favor Instagram and 47% YouTube. These platforms offer strong community engagement and offer a significant influencer presence.

The Educated Rationalists cluster (58%) shows a strong preference for YouTube, closely followed by the Digital-First Trailblazers cluster (55%), which indicates that, while they engage with social media for shopping, they may prefer platforms that offer more in-depth content and community interaction. These results suggest that **video is now a more effective advertising alternative than traditional mediums**, at least for some clusters.

Figure 19.
60% of Digital-First Trailblazers consumers have bought products via social media platform



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

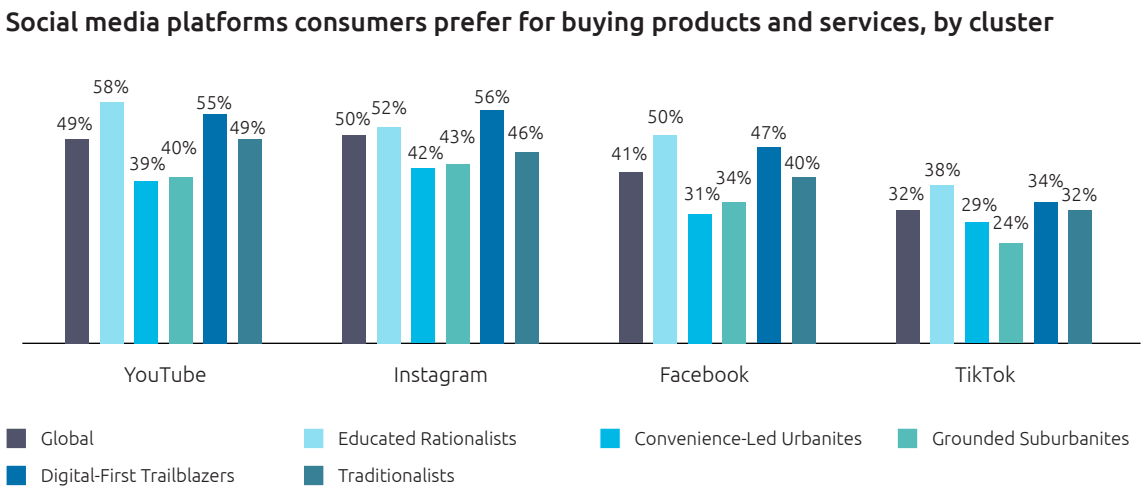
Instagram is the leading choice for Digital-First Trailblazers (56%), followed by Grounded Suburbanites (43%) and Convenience-Led Urbanites (42%), reflecting its visual appeal and influencer-driven marketing strategies. Dove ran influencer-driven campaigns on Instagram, featuring limited-time offers accessible through clickable social media posts.[24]

Facebook is the third favorite social media buying platform, with 50% of Educated Rationalists favoring it. These clusters harness the principle of "social proof," with promoted purchases and recommendations from friends and family influencing and reinforcing purchase decisions.

60%

of Digital-First Trailblazers consumers have bought products via social media platform

Figure 20.
Instagram and YouTube are the top social media platforms among consumers



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

Consumers frequently purchase multiple product categories via social media

Nowadays, social media trends shape consumer preferences, driving the popularity of various product categories. Meta partnered with Amazon to allow shoppers to buy via Facebook and Instagram ads. Through this collaboration, Meta enables users to link their Facebook and Instagram accounts to Amazon, buying items they see through their social media feeds without having to leave Meta's platforms,[25] generating more dynamic, interactive shopping behaviors.

Around one-quarter (26%) of consumers frequently purchase groceries via social media, compared with 22% last year. A similar portion (24%) make frequent purchases in apparel and accessories, personal care products, and household supplies, and almost half (49%) occasionally purchase meal kits in this way (figure 21).

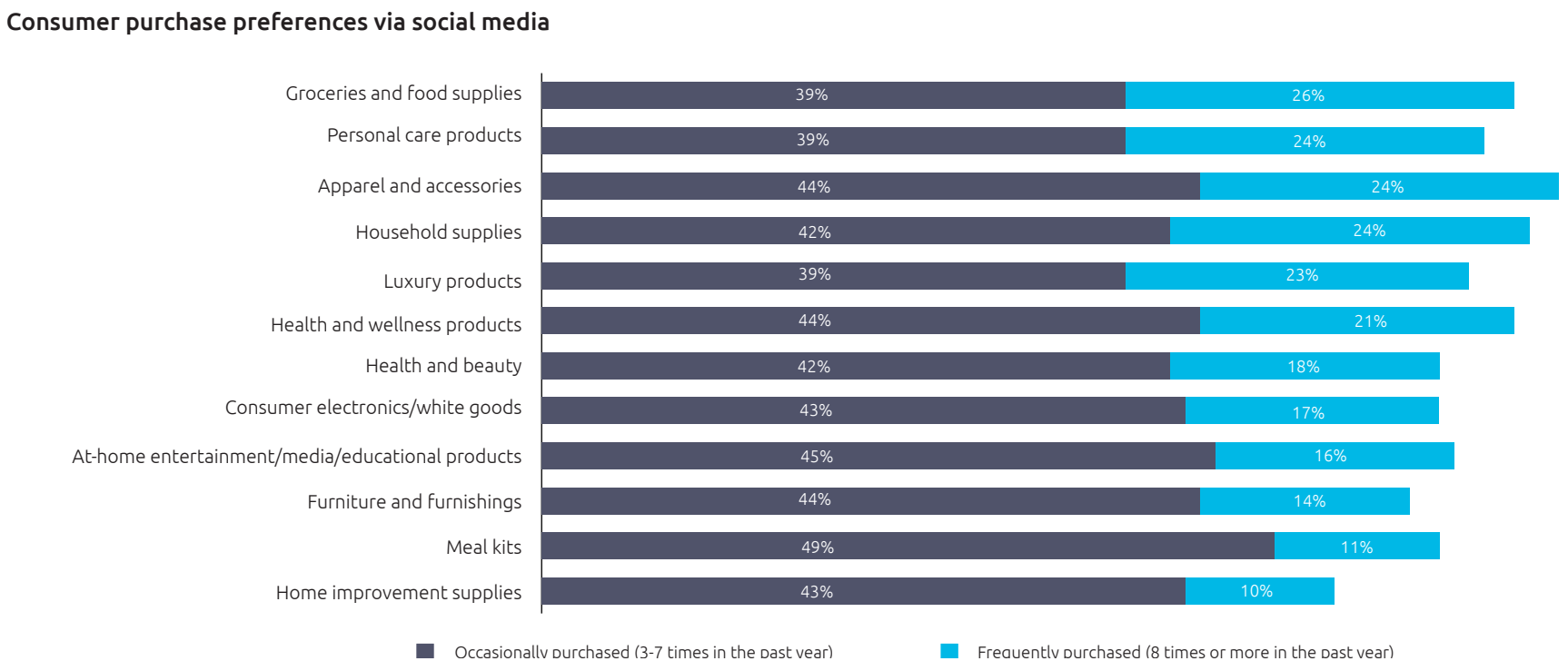
40%

of consumers occasionally use social media for customer service interactions

Social media: A parallel consumer universe

Although live shopping is nascent in the US, it is already big in China. Live stream shopping, a subsector of e-commerce, involves broadcasting live video streams where hosts present and sell products in real time. The livestreaming market in China is projected to be over $300 billion by 2025.[26] Daniel Fisher, UK General Manager of livestream shopping platform Whatnot, says: *"Livestream shopping is incredibly engaging because it replicates the best of the personalized in-store experience, where you can directly engage with a passionate seller and see a product being held or used."*[27] On June 8th 2024, Canvas Beauty set a TikTok US record with a six-hour livestream that achieved $1 million in sales.[28] TikTok Shop also hosted various discount days this summer in collaboration with NYX Professional Makeup and L'Oréal Paris, among others.[29]

Figure 21.
Apparel and groceries are the most popular purchase category via social media



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 3805 consumers who have purchased on social media.

While 23% of consumers frequently engage with social media for livestreaming events, consumers are also exploring social media platforms for customer support, product reviews, and shared shopping.

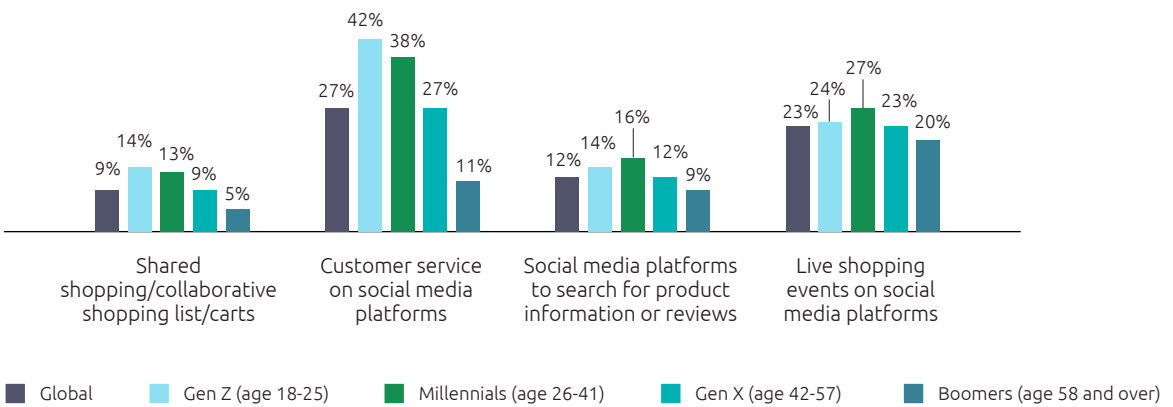
- Live shopping events, blending retail with entertainment, attract 49% of consumers for occasional use (3–7 times in the past year), with 23% participating frequently.
- A significant 56% of consumers occasionally use social media to search for product information or reviews. This highlights the platform's role as a primary resource for informed purchasing decisions, even if only 12% engage frequently.
- While 40% of consumers occasionally use social media for customer service interactions, a notable 27% do so frequently. This indicates a growing reliance on social media for resolving issues and seeking support.

Social media influencers are impacting Gen Z

Social media influencers have become key players in shaping how consumers discover and purchase products, leveraging their reach and authenticity to drive engagement. By curating content and sharing personal experiences, influencers significantly impact consumer decisions, transforming traditional marketing into a more relatable and interactive experience.

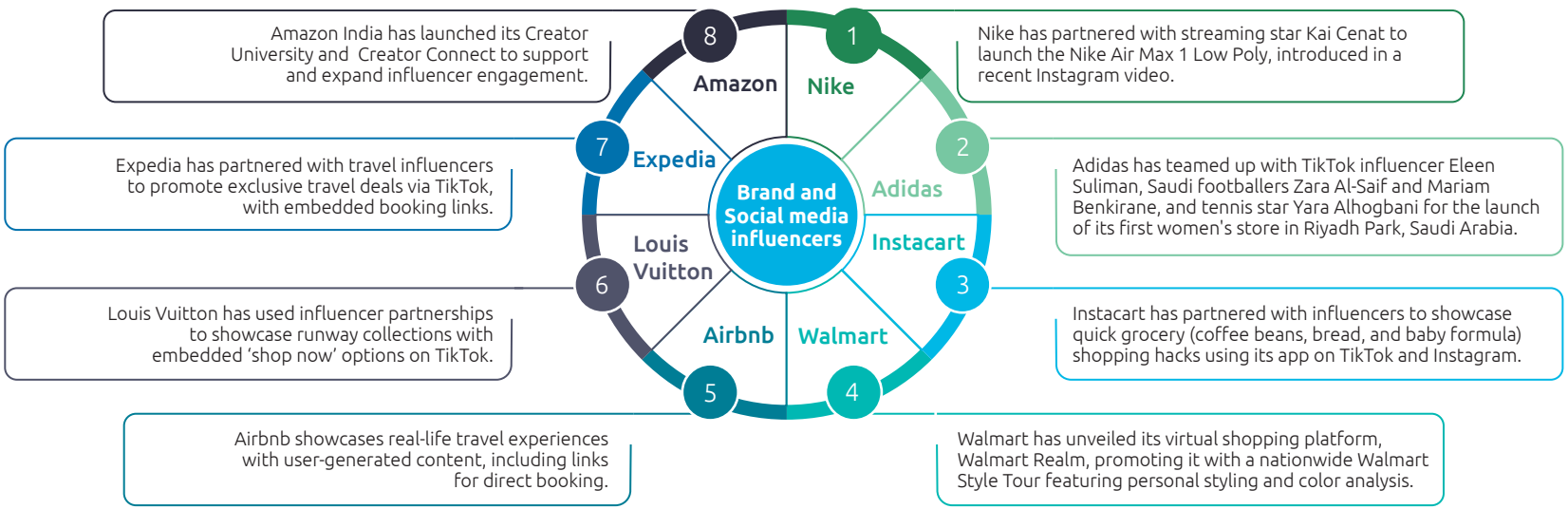
Figure 22.
27% of consumers say they frequently use social media for customer service

Frequent (8+ times in past year) consumers usage of social media platforms for different purposes, by age



Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N =12,000 consumer; 1,394 Gen Z consumers; 3,219 Millennial consumers; 3,757 Gen X consumers; 3,630 Boomer consumers.

Figure 23.
Multiple brands and retailers are collaborating with social media influencers



1. Underthelaces, "Kai Cenat teams with Nike to reveal "Low Poly" Air Max 1," September 2024.
2. Campaignme, "Adidas collabs with Saudi influencers to champion female empowerment," October 2024.
3. Digiday, "Omnicom wraps Cannes with an Instacart API deal to buy directly off influencer content," June 2024.
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